Colgate-Palmolive Company (CL) Valuation Analysis

Prepared by Annie Zheng

Model history: FY2021-FY2025 | Forecasts: FY2026E-FY2027E

Overview

I analyzed Colgate-Palmolive by forecasting regional revenue, profitability and cash flow. The analysis includes North America, Latin America, Europe, Asia Pacific, Africa/Eurasia and pet nutrition. I estimated its value using a discounted cash flow (DCF) model and a forward EV/EBITD multiple.

Model financial summary

USD millions, except per-share / ratios	2025	2026E	2027E
Revenue	20,382	21,512	22,525
Gross profit	12,251	12,970	13,628
Gross margin	60.1%	60.3%	60.5%
Operating income	4,347	4,640	5,028
Model net income	2,995	3,250	3,550
EPS ($)	3.69	4.07	4.49
Operating cash flow	4,198	3,450	4,265
ROIC	34.9%	36.0%	35.7%

Valuation results

Approach	Value per share	Vs. reference
Discounted cash flow	$95.09	+13.2%
15.0x 2027E EBITD, discounted	$91.17	+8.5%
Reference share price	$84.00	-

Main assumptions and conclusion

The 2026 forecast assumes revenue growth of 1% in North America, 10% in Latin America, 7% in Europe, 2% in Asia Pacific, 10% in Africa/Eurasia and 5% in pet nutrition. The forecast tax rate is 22.5%. The DCF uses a 5.61% discount rate and 1.0% terminal growth. Both valuation methods indicate values above the $84 reference price under these assumptions.

E indicates an estimate. Prices and forecasts reflect the analysis period and are not live market quotations.

Income statement metrics use an adjusted analytical build. See methodology appendix for the reported earnings bridge.

Income Statement Build

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Regional revenue & operating results

Metric	2021	2022	2023	2024	2025	2026E	2027E
Revenues							
North America	3,694	3,816	4,091	4,113	4,045	4,085	4,200
Latin America	3,663	3,982	4,640	4,782	4,776	5,254	5,700
Europe	2,841	2,548	2,571	2,770	2,963	3,170	3,300
Asia Pacific	2,867	2,826	2,782	2,858	2,813	2,869	3,000
Africa/Eurasia	1,045	1,082	1,083	1,095	1,172	1,289	1,325
Pet nutrition	3,311	3,713	4,290	4,483	4,613	4,844	5,000
Total	17,421	17,967	19,457	20,101	20,382	21,512	22,525
Cost of goods sold	7,046	7,719	8,131	7,920	8,131	8,542	8,897
Gross profit	10,375	10,248	11,326	12,181	12,251	12,970	13,628
Gross margin	59.55%	57.04%	58.21%	60.60%	60.11%	60.29%	60.50%
Selling, gen and adm	6,472	6,634	7,342	7,828	7,904	8,330	8,600
Operating income	3,903	3,614	3,984	4,353	4,347	4,640	5,028
Operating margin	22.40%	20.11%	20.48%	21.66%	21.33%	21.57%	22.32%

Net income & earnings per share

Metric	2021	2022	2023	2024	2025	2026E	2027E
Interest expense	175	153	232	225	193	200	200
Other	70	80	360	87	90	92	92
INCOME BEFORE TAXES	3,658	3,381	3,392	4,041	4,064	4,348	4,736
Income taxes	888.9	882.4	937	919	940	978.3	1,066
Effective tax rate	24.30%	26.10%	27.62%	22.74%	23.13%	22.50%	22.50%
Income before NCI	2,769	2,499	2,455	3,122	3,124	3,370	3,670
Non-controlling interests	46	182	155	160	129	120	120
Net Income	2,723	2,317	2,300	2,962	2,995	3,250	3,550
EPS	3.21	2.76	2.77	3.60	3.69	4.07	4.49
Fully diluted	848.30	838.80	829.20	823.20	811.10	798.75	790.00

Analytical income statement build; adjusted income differs from reported GAAP cash-flow starting earnings.

Regional Operating Income & Margins

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Metric	2021	2022	2023	2024	2025	2026E	2027E
North America	754	761	871	839	784		
North America margin	20.41%	19.94%	21.29%	20.40%	19.38%		
Latin America	1,012	1,108	1,417	1,526	1,411		
Latin America margin	27.63%	27.83%	30.54%	31.91%	29.54%		
Europe	682	514	573	658	748		
Europe margin	24.01%	20.17%	22.29%	23.75%	25.24%		
Asia Pacific	844	737	767	812	760		
Asia Pacific margin	29.44%	26.08%	27.57%	28.41%	27.02%		
Africa/Eurasia	203	228	254	253	255		
Africa/Eurasia margin	19.43%	21.07%	23.45%	23.11%	21.76%		
Pet nutrition	901	850	806	965	1,064		
Pet nutrition margin	27.21%	22.89%	18.79%	21.53%	23.07%		
Intercompany	-493	-584	-704	-700	-699		
Total	3,903	3,614	3,984	4,353	4,347	4,640	5,028

Growth & Funds Flow

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Growth

Metric	2021	2022	2023	2024	2025	2026E	2027E
Revenues							
North America		3.30%	7.21%	0.54%	-1.65%	1.00%	2.80%
Latin America		8.71%	16.52%	3.06%	-0.13%	10.00%	8.50%
Europe		-10.31%	0.90%	7.74%	6.97%	7.00%	4.09%
Asia Pacific		-1.43%	-1.56%	2.73%	-1.57%	2.00%	4.56%
Africa/Eurasia		3.54%	0.09%	1.11%	7.03%	10.00%	2.78%
Pet nutrition		12.14%	15.54%	4.50%	2.90%	5.00%	3.23%
Total		3.13%	8.29%	3.31%	1.40%	5.54%	4.71%
Gross profit		-1.22%	10.52%	7.55%	0.57%	5.87%	5.07%
Operating income		-7.40%	10.24%	9.26%	-0.14%	6.74%	8.36%
EPS		-13.97%	0.43%	29.72%	2.62%	10.18%	10.46%

Funds flow

Metric	2021	2022	2023	2024	2025	2026E	2027E
Net income incl. NCI	2,338	1,967	2,455	3,049	2,261	3,250	3,550
Dep and amort	556	545	567	605	630	660	680
Stock based compensation	135	125	122	135	155	120	120
Deferred income taxes	-132	-78	-98	-77	-109	0	0
Other	625	723	244	51	977	0	0
Changes in working capital	-197	-726	455	344	284	-580	-85
Total	3,325	2,556	3,745	4,107	4,198	3,450	4,265
Capital spending	567	696	705	561	564	550	550
Excess cash flow	2,758	1,860	3,040	3,546	3,634	2,900	3,715
Acquisitions, net	0	-762	0	0	-293	0	0
Dividends	-1,679	-1,691	-1,749	-1,789	-1,823	-1,823	-1,823
Purchase of treasury shares	-896	-890	-748	-1,101	-1,109	-1,000	-1,000
Addition/reduction in debt	-175	1,647	-314	-408	-456	0	0
Change in marketable securities	0	-148	-4	-10	54		
Other	-64	-73	-34	-108	185	0	0
Total	-2,814	-1,917	-2,849	-3,416	-3,442	-2,823	-2,823
Change in cash	-56	-57	191	130	192	76.6	892.1

Historical cash flow starts with reported income including NCI; forecast cash flow uses model net income.

Balance Sheet

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Metric	2021	2022	2023	2024	2025	2026E	2027E
Assets							
Cash and equivalents	832	775	966	1,096	1,288	1,365	2,257
Accounts receivable	1,297	1,504	1,586	1,521	1,675	1,625	1,700
Inventories	1,692	2,074	1,934	1,987	2,032	2,300	2,400
Other	576	760	793	713	714	740	750
Total current assets	4,397	5,113	5,279	5,317	5,709	6,030	7,107
Property, plant and equip	3,730	4,307	4,582	4,422	4,660	4,800	5,000
Other assets	6,913	6,311	6,532	6,307	5,961	6,600	6,800
Total assets	15,040	15,731	16,393	16,046	16,330	17,430	18,907
Liabilities and Shareholders' Equity							
Accounts payable	1,479	1,551	1,698	1,805	2,089	2,000	2,050
Accrued liabilities	2,521	2,428	2,713	3,294	3,647	3,400	3,450
Short term debt	51	25	330	660	1,117	660	660
Total current liabilities	4,051	4,004	4,741	5,759	6,853	6,060	6,160
Long term debt	7,194	8,741	8,219	7,289	6,871	6,871	6,871
Other liabilities	2,824	2,180	2,476	2,454	2,241		
Total equity incl. NCI	971	806	957	544	365		
Total	15,040	15,731	16,393	16,046	16,330		
Net working capital					-1,315	-735	-650
Change in net working capital						-580	-85

Return on Invested Capital

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Metric	2021	2022	2023	2024	2025	2026E	2027E
Operating income	3,903	3,614	3,984	4,353	4,347	4,640	5,028
Tax rate	24.30%	26.10%	27.62%	22.74%	23.13%	22.50%	22.50%
Taxes	948.4	943.3	1,101	990.0	1,005	1,044	1,131
NOPAT	2,955	2,671	2,883	3,363	3,342	3,596	3,896
Invested capital							
Net working capital	-435	359	-98	-878	-1,315	-735	-650
PP&E	3,730	4,307	4,582	4,422	4,660	4,800	5,000
Other assets	6,913	6,311	6,532	6,307	5,961	6,600	6,800
Total	10,208	10,977	11,016	9,851	9,306	10,665	11,150
ROIC	28.94%	25.21%	26.22%	32.23%	34.89%	36.01%	35.72%

Cost of Capital

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Assumption / calculation	Value
Beta assumption	0.44
Risk free rate	4.00%
Return on market	8.00%
CAPM	5.76%
Debt cost of capital	4.23%
Equity cost of capital	5.76%
Net debt	6,700
Equity capitalization	64,077
Total capitalization	70,777
Net debt weighting	9.47%
Equity weighting	90.53%
Total	100.00%
Cost of debt	0.40%
Cost of equity	5.21%
Total	5.61%

Additional debt cost input	Value
Pre-tax debt rate	5.50%

CAPM = 4.00% + 0.44 x (8.00% - 4.00%) = 5.76%. Beta is an explicit model assumption.

Discounted Cash Flow Valuation

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Metric	2021	2022	2023	2024	2025	2026E	2027E	Terminal value
Operating income	3,903	3,614	3,984	4,353	4,347	4,640	5,028	
Tax rate	24.30%	26.10%	27.62%	22.74%	23.13%	22.50%	22.50%	
Taxes	948.4	943.3	1,101	990.0	1,005	1,044	1,131	
NOPAT	2,955	2,671	2,883	3,363	3,342	3,596	3,896	
Depreciation and amort	556	545	567	605	630	660	680	
Capital spending	567	696	705	561	564	550	550	
Working capital cash flow	-197	-726	455	344	284	-580	-85	
Free cash flow	2,747	1,794	3,200	3,751	3,692	3,126	3,941	86,259
Cost of capital						5.61%	5.61%	5.61%
NPV						2,960	3,533	77,331

Equity value calculation

Metric	Value
Cost of capital	5.61%
Terminal growth rate	1.00%
Enterprise value	83,824
Net debt	6,700
Equity capitalization	77,124
Shares outstanding	811.10
Estimated stock price	95.09
Reference share price	84.00

Valuation Multiples & Target Price

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Metric	2021	2022	2023	2024	2025	2026E	2027E
Model reference price	85.00	79.00	80.00	90.00	79.00	90.00	90.00
Net debt	6,413	7,991	7,583	6,853	6,700	6,166	5,274
Market capitalization	72,106	66,265	66,336	74,088	64,077	71,888	71,100
Enterprise value	78,518	74,256	73,919	80,941	70,777	78,054	76,374
Invested capital	10,208	10,977	11,016	9,851	9,306	10,665	11,150
EBITD	4,459	4,159	4,551	4,958	4,977	5,300	5,708
EBITD margin	25.60%	23.15%	23.39%	24.67%	24.42%	24.64%	25.34%
EBITD growth		-6.73%	9.43%	8.94%	0.38%	6.90%	14.68%
ROIC	28.94%	25.21%	26.22%	32.23%	34.89%	36.01%	35.72%
EV/EBITD (trailing)	17.61x	17.85x	16.24x	16.33x	14.22x	14.73x	13.38x
EV/invested capital	7.69x	6.76x	6.71x	8.22x	7.61x	7.32x	6.85x
Unlevered free cash flow yield	3.50%	2.42%	4.33%	4.63%			
EBITD conversion ratio	61.85%	44.72%	66.80%	71.52%			

Target price

Metric	Value
2027E EBITD	5,708
Target EBITD multiple	15.00x
Enterpise value	85,614
Net debt	5,274
Market cap	80,340
Discounted back to today	72,025
Shares outstanding	790.00
Stock price	91.17
Reference share price	84.00

2023 Quarterly Income Statement

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Metric	Q1 2023	Q2 2023	Q3 2023	Q4 2023
Revenues				
North America	958	978	1,025	1,047
Latin America	1,075	1,178	1,194	1,192
Europe	650	678	690	637
Asia Pacific	738	664	682	698
Africa/Eurasia	288	268	266	262
Pet nutrition	1,061	1,056	1,058	1,114
Total	4,770	4,822	4,915	4,950
Cost of goods sold	2,058	2,035	2,038	2,000
Gross profit	2,712	2,787	2,877	2,950
Gross margin	56.86%	57.80%	58.54%	59.60%
Selling, gen and adm	1,803	1,813	1,848	1,878
Operating income	909	974	1,029	1,072
Operating margin	19.06%	20.20%	20.94%	21.66%

Net income & earnings per share

Metric	Q1 2023	Q2 2023	Q3 2023	Q4 2023
Interest expense	54	58	58	58
Other	294	29	15	22
INCOME BEFORE TAXES	561	887	956	992
Income taxes	147	353	209	238
Effective tax rate	26.20%	39.80%	21.86%	23.99%
Income before NCI	414	534	747	754
Non-controlling interests	42	32	39	42
Net Income	372	502	708	712
EPS	0.45	0.60	0.86	0.86
Fully diluted	833.00	831.30	827.30	825.10

2023 Quarterly Operating Income & Growth

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Regional operating income & margins

Metric	Q1 2023	Q2 2023	Q3 2023	Q4 2023
North America	193	227	227	231
North America margin	20.15%	23.21%	22.15%	22.06%
Latin America	315	363	372	366
Latin America margin	29.30%	30.81%	31.16%	30.70%
Europe	116	134	165	151
Europe margin	17.85%	19.76%	23.91%	23.70%
Asia Pacific	202	169	193	203
Asia Pacific margin	27.37%	25.45%	28.30%	29.08%
Africa/Eurasia	68	62	66	59
Africa/Eurasia margin	23.61%	23.13%	24.81%	22.52%
Pet nutrition	183	191	201	231
Pet nutrition margin	17.25%	18.09%	19.00%	20.74%
Intercompany	-168	-172	-195	-169
Total	909	974	1,029	1,072

2024 Quarterly Income Statement

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Metric	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Revenues				
North America	1,035	1,037	1,004	1,036
Latin America	1,253	1,267	1,156	1,106
Europe	673	685	744	668
Asia Pacific	727	682	725	724
Africa/Eurasia	276	273	278	269
Pet nutrition	1,101	1,114	1,126	1,141
Total	5,065	5,058	5,033	4,944
Cost of goods sold	2,026	1,983	1,950	1,961
Gross profit	3,039	3,075	3,083	2,983
Gross margin	60.00%	60.79%	61.26%	60.34%
Selling, gen and adm	1,956	1,957	2,003	1,912
Operating income	1,083	1,118	1,080	1,071
Operating margin	21.38%	22.10%	21.46%	21.66%

Net income & earnings per share

Metric	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Interest expense	58	60	56	50
Other	22	22	23	20
INCOME BEFORE TAXES	1,003	1,036	1,001	1,001
Income taxes	244	247	212	216
Effective tax rate	24.33%	23.84%	21.18%	21.58%
Income before NCI	759	789	789	785
Non-controlling interests	46	36	39	40
Net Income	713	753	750	745
EPS	0.86	0.91	0.91	0.91
Fully diluted	825.90	823.70	822.50	819.70

2024 Quarterly Operating Income & Growth

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Regional operating income & margins

Metric	Q1 2024	Q2 2024	Q3 2024	Q4 2024
North America	214	213	206	206
North America margin	20.68%	20.54%	20.52%	19.88%
Latin America	405	417	365	339
Latin America margin	32.32%	32.91%	31.57%	30.65%
Europe	153	169	181	155
Europe margin	22.73%	24.67%	24.33%	23.20%
Asia Pacific	207	195	199	211
Asia Pacific margin	28.47%	28.59%	27.45%	29.14%
Africa/Eurasia	66	64	65	58
Africa/Eurasia margin	23.91%	23.44%	23.38%	21.56%
Pet nutrition	199	235	258	275
Pet nutrition margin	18.07%	21.10%	22.91%	24.10%
Intercompany	-141	-175	-194	-173
Total	1,103	1,118	1,080	1,071

Growth

Metric	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Revenues				
North America	8.04%	6.03%	-2.05%	-1.05%
Latin America	16.56%	7.56%	-3.18%	-7.21%
Europe	3.54%	1.03%	7.83%	4.87%
Asia Pacific	-1.49%	2.71%	6.30%	3.72%
Africa/Eurasia	-4.17%	1.87%	4.51%	2.67%
Pet nutrition	3.77%	5.49%	6.43%	2.42%
Total	6.18%	4.89%	2.40%	-0.12%
Gross profit	12.06%	10.33%	7.16%	1.12%
Operating income	19.14%	14.78%	4.96%	-0.09%
EPS	93.31%	51.38%	6.55%	5.32%

2025 Quarterly Income Statement

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Metric	Q1 2025	Q2 2025	Q3 2025	Q4 2025
Revenues				
North America	998	1,027	999	1,021
Latin America	1,143	1,207	1,178	1,248
Europe	690	738	801	734
Asia Pacific	690	687	714	722
Africa/Eurasia	271	295	297	309
Pet nutrition	1,119	1,156	1,142	1,196
Total	4,911	5,110	5,131	5,230
Cost of goods sold	1,924	2,041	2,082	2,084
Gross profit	2,987	3,069	3,049	3,146
Gross margin	60.82%	60.06%	59.42%	60.15%
Selling, gen and adm	1,896	1,980	1,990	2,038
Operating income	1,091	1,089	1,059	1,108
Operating margin	22.22%	21.31%	20.64%	21.19%

Net income & earnings per share

Metric	Q1 2025	Q2 2025	Q3 2025	Q4 2025
Interest expense	51	50	46	46
Other	22	23	21	24
INCOME BEFORE TAXES	1,018	1,016	992	1,038
Income taxes	239	236	226	238
Effective tax rate	23.48%	23.23%	23.00%	22.93%
Income before NCI	779	780	766	800
Non-controlling interests	36	30	31	32
Net Income	743	750	735	768
EPS	0.91	0.92	0.91	0.95
Fully diluted	815.00	813.30	810.20	804.70

2025 Quarterly Operating Income & Growth

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Regional operating income & margins

Metric	Q1 2025	Q2 2025	Q3 2025	Q4 2025
North America	196	194	190	203
North America margin	19.64%	18.89%	19.02%	19.88%
Latin America	348	367	337	360
Latin America margin	30.45%	30.41%	28.61%	28.85%
Europe	172	184	209	183
Europe margin	24.93%	24.93%	26.09%	24.93%
Asia Pacific	198	187	188	188
Asia Pacific margin	28.70%	27.22%	26.33%	26.04%
Africa/Eurasia	57	65	68	65
Africa/Eurasia margin	21.03%	22.03%	22.90%	21.04%
Pet nutrition	258	264	255	286
Pet nutrition margin	23.06%	22.84%	22.33%	23.91%
Intercompany	-138	-172	-188	-177
Total	1,091	1,089	1,059	1,108

Growth

Metric	Q1 2025	Q2 2025	Q3 2025	Q4 2025
Revenues				
North America	-3.57%	-0.96%	-0.50%	-1.45%
Latin America	-8.78%	-4.74%	1.90%	12.84%
Europe	2.53%	7.74%	7.66%	9.88%
Asia Pacific	-5.09%	0.73%	-1.52%	-0.28%
Africa/Eurasia	-1.81%	8.06%	6.83%	14.87%
Pet nutrition	1.63%	3.77%	1.42%	4.82%
Total	-3.04%	1.03%	1.95%	5.78%
Gross profit	-1.71%	-0.20%	-1.10%	5.46%
Operating income	0.74%	-2.59%	-1.94%	3.45%
EPS	5.60%	0.88%	-0.51%	5.01%

2026E Quarterly Income Statement

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Metric	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E
Revenues				
North America	1,008	1,037	1,009	1,031
Latin America	1,257	1,328	1,296	1,373
Europe	738.3	789.7	857.1	785.4
Asia Pacific	703.8	700.7	728.3	736.4
Africa/Eurasia	298.1	324.5	326.7	339.9
Pet nutrition	1,175	1,214	1,199	1,256
Total	5,180	5,394	5,416	5,522
Cost of goods sold	2,020	2,141	2,193	2,187
Gross profit	3,160	3,252	3,222	3,335
Gross margin	61.00%	60.30%	59.50%	60.40%
Selling, gen and adm	2,000	2,090	2,090	2,150
Operating income	1,160	1,162	1,132	1,185
Operating margin	22.39%	21.55%	20.91%	21.46%

Net income & earnings per share

Metric	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E
Interest expense	50	50	50	50
Other	23	23	23	23
INCOME BEFORE TAXES	1,087	1,089	1,059	1,112
Income taxes	244.6	245.1	238.4	250.2
Effective tax rate	22.50%	22.50%	22.50%	22.50%
Income before NCI	842.5	844.3	821.1	861.8
Non-controlling interests	30	30	30	30
Net Income	812.5	814.3	791.1	831.8
EPS	1.01	1.02	0.99	1.05
Fully diluted	802.00	800.00	798.00	795.00

2026E Quarterly Operating Income & Growth

USD millions, except per-share amounts, multiples and percentages. Share counts are in millions.

Operating income

Metric	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E

Growth

Metric	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E
Revenues				
North America	1.00%	1.00%	1.00%	1.00%
Latin America	10.00%	10.00%	10.00%	10.00%
Europe	7.00%	7.00%	7.00%	7.00%
Asia Pacific	2.00%	2.00%	2.00%	2.00%
Africa/Eurasia	10.00%	10.00%	10.00%	10.00%
Pet nutrition	5.00%	5.00%	5.00%	5.00%
Total	5.49%	5.55%	5.55%	5.57%
Gross profit	5.79%	5.98%	5.69%	6.01%
Operating income	6.33%	6.74%	6.94%	6.95%
EPS	11.12%	10.37%	9.28%	9.63%

Colgate-Palmolive

Methodology and Sources

Model scope

Regional revenue forecasts feed gross profit, operating expenses, tax, cash flow and invested capital. FY2026-FY2027 values are analyst estimates. Reference share prices are comparison inputs used by the model.

Reporting basis

FY2025 net income reconciliation (USD millions)	Amount
Reported net income including NCI	2,261
Less: noncontrolling interests	(129)
Reported net income attributable to Colgate	2,132
Company Base Business adjustments, net	864
Company Base Business net income	2,996
Rounded income statement build in this model	2,995

The income statement build approximates adjusted earnings from rounded inputs. Its $2,995 million net income is $1 million below the company’s $2,996 million Base Business figure. Historical funds flow starts with $2,261 million reported income including noncontrolling interests (NCI). This distinction explains the different earnings values across schedules.

Discount rate and valuation

CAPM is 4.00% + 0.44 x (8.00% - 4.00%) = 5.76%. The explicit beta assumption of 0.44 reproduces the equity cost used in the model. The 5.61% WACC combines equity and after-tax debt costs. DCF uses 1.0% terminal growth; the second method applies 15.0x to 2027E EBITD and discounts equity value back two years.

Definitions and source

EBITD means operating income plus depreciation and amortization. Working capital cash flow is signed, with negative values reducing free cash flow. Income before NCI is after interest and tax. Reported earnings and the company’s adjusted Base Business earnings were cross-checked against its FY2025 Form 10-K.

Source: Colgate-Palmolive FY2025 Form 10-K, financial statements and Base Business reconciliation